

Setting an innovation culture

Any organization has its own particular patterns of behavior that are underpinned by values and beliefs—its organizational culture. If you want to develop an innovative organization, creating the right culture is the biggest challenge.

TIP

REWARD INNOVATIVE THINKING

Develop a recognition-and-reward program for those who contribute to a successful innovation, to encourage all employees to participate in the process.

Encouraging employees

Your employees must have the right attitude in order to come up with and develop innovations. An organization that operates a blame culture—in which mistakes are punished and instigators of new projects are made scapegoats when they fail—will discourage innovative thinking. On the other hand, a more open culture in which mistakes are treated as opportunities to learn and develop new strategies, will be more likely to encourage innovation. Discourage the attitude that current systems are perfectly fine, or “if it ain’t broke, don’t fix it,” so that employees are constantly thinking of how their processes could be improved.

CASE STUDY

A culture of innovation

3M is often cited as an example of a consistently successful innovator that draws on what is clearly a highly innovative culture. 3M has around 50,000 products and yet is so confident in its ability to innovate that it sets the goal of deriving a third of its sales from products introduced in the past three years. Although it is famous for encouraging people to explore ideas not relevant to their main jobs, this is

only one element of a complex culture. It also allows people to progress their ideas through stages of funding options, from seed money to greater resources, if the Board is convinced by the proposal. There is a deliberate attempt to create a sense of company history based on valuing those people who challenge the system, and a policy of encouraging “bootlegging” behavior—progressing innovation projects that might not have received official sanction.